

**SUBSTITUTE FOR
HOUSE BILL NO. 5919**

A bill to amend 1976 PA 451, entitled
"The revised school code,"
by amending sections 4 and 5 (MCL 380.4 and 380.5), section 4 as
amended by 2011 PA 232 and section 5 as amended by 2019 PA 38, and
by adding sections 562, 564, 565, 566, 567, 568, 569, and 1701b.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 4. (1) "Educational media center" means a program
2 operated by an intermediate school district and approved by the
3 state board that provides services to local school districts or
4 constituent districts under section 671.

5 (2) "Educational provider" means any person or entity,
6 including an individual teacher acting as an independent contractor
7 selected and hired directly by a parent or legal guardian, that



1 provides a program, course, or service under a direct contract with
 2 the learner-first district or under a parent-directed direct-
 3 instruction agreement facilitated and funded by the learner-first
 4 district

5 (3) ~~(2)~~—"Intermediate school board" means the board of an
 6 intermediate school district.

7 (4) ~~(3)~~—"Intermediate school district" means a corporate body
 8 established under part 7.

9 (5) ~~(4)~~—"Intermediate school district election" means an
 10 election called by an intermediate school board and held on the
 11 date of the regular school elections of constituent districts or on
 12 a date determined by the intermediate school board under section
 13 642c of the Michigan election law, MCL 168.642c.

14 (6) ~~(5)~~—"Intermediate school elector" means a person who is a
 15 school elector of a constituent district and who is registered in
 16 the city or township in which the person resides.

17 (7) ~~(6)~~—"Intermediate superintendent" means the superintendent
 18 of an intermediate school district.

19 (8) **"Learner-first district" means the school district**
 20 **organized under part 6F.**

21 Sec. 5. (1) "Local act school district" means a district
 22 governed by a local act or chapter of a local act. "Local school
 23 district" and "local school district board" as used in article 3
 24 include a local act school district and a local act school district
 25 board.

26 (2) "Membership" means the number of full-time equivalent
 27 pupils in a public school as determined by the number of pupils
 28 registered for attendance plus pupils received by transfer and
 29 minus pupils lost as defined by rules promulgated by the



1 superintendent of public instruction.

2 (3) "Michigan election law" means the Michigan election law,
3 1954 PA 116, MCL 168.1 to 168.992.

4 (4) "Nonpublic school" means a private, denominational, or
5 parochial school.

6 (5) "Objectives" means measurable pupil academic skills and
7 knowledge.

8 (6) "Public school" means a public elementary or secondary
9 educational entity or agency that is established under this act or
10 under other law of this state, has as its primary mission the
11 teaching and learning of academic and vocational-technical skills
12 and knowledge, and is operated by a school district, intermediate
13 school district, school of excellence corporation, public school
14 academy corporation, strict discipline academy corporation, urban
15 high school academy corporation, or by the department, the state
16 board, or another public body. Public school also includes **the**
17 **learner-first district**, a laboratory school, or other elementary or
18 secondary school that is controlled ~~and operated~~ by a state public
19 university described in section 4, 5, or 6 of article VIII of the
20 state constitution of 1963.

21 (7) "Public school academy" means a public school academy
22 established under part 6a and, except as used in part 6a, also
23 includes an urban high school academy established under part 6c, a
24 school of excellence established under part 6e, and a strict
25 discipline academy established under sections 1311b to 1311m.

26 (8) "Pupil membership count day" of a school district means
27 that term as defined in section 6 of the state school aid act of
28 1979, MCL 388.1606.

29 (9) "Qualifying school district" means a school district that



1 was previously organized and operated as a first class school
2 district governed by part 6 that has a pupil membership of less
3 than 100,000 enrolled on its most recent pupil membership count
4 day, including, but not limited to, a school district that was
5 previously organized and operated as a first class school district
6 before June 21, 2016.

7 (10) "Regular school election" or "regular election" means the
8 election held in a school district, local act school district, or
9 intermediate school district to elect a school board member in the
10 regular course of the terms of that office and held on the school
11 district's regular election date as determined under section 642c
12 of the Michigan election law, MCL 168.642c.

13 (11) "Reorganized intermediate school district" means an
14 intermediate school district formed by consolidation or annexation
15 of 2 or more intermediate school districts under sections 701 and
16 702.

17 (12) "Rule" means a rule promulgated under the administrative
18 procedures act of 1969, 1969 PA 306, MCL 24.201 to 24.328.

19 **PART 6F**

20 **LEARNER-FIRST DISTRICT**

21 **Sec. 562. (1) The learner-first district is created and shall**
22 **be governed by this part for the following purposes:**

23 (a) To provide innovative, flexible, transparent, safe,
24 efficient, and effective public educational services throughout the
25 state.

26 (b) To provide parents and legal guardians with greater public
27 educational choices and an increased ability to determine and
28 direct the care, teaching, and education of their children.

29 (c) To advance new flexible and adaptable educational models,



1 including the expanded use of technology in education, online
2 learning, and the provision of mastery-based learning.

3 (d) To stimulate innovation in teaching methods, including the
4 use of computer-adaptive methods of instruction.

5 (e) To provide new professional opportunities for teachers
6 within the public education system.

7 (f) To create new public-private partnerships for the
8 provision of public educational services.

9 (2) All of the following apply to the learner-first district
10 created under this section:

11 (a) The learner-first district is a school district for the
12 purposes of section 11 of article IX of the state constitution of
13 1963.

14 (b) The learner-first district is subject to the leadership
15 and general supervision of the state board of education under
16 section 3 of article VIII of the state constitution of 1963.

17 (c) The learner-first district is a political subdivision and
18 public body corporate separate and distinct from this state and
19 other school districts in this state.

20 (d) The learner-first district and members of the learner-
21 first district school board, its superintendent, administrators,
22 officers, employees, and volunteers have governmental immunity
23 under section 7 of 1964 PA 170, MCL 691.1407.

24 (e) The learner-first district encompasses a geographic area
25 containing the entirety of this state.

26 (3) As used in this section, "mastery-based learning" means
27 education that includes all of the following elements:

28 (a) Pupils are empowered daily to make important decisions
29 about their learning experiences, how they will create and apply



1 knowledge, and how they will demonstrate their learning.

2 (b) Assessment is a meaningful, positive, and empowering
3 learning experience for pupils that yields timely, relevant, and
4 actionable evidence.

5 (c) Pupils receive timely, differentiated support based on the
6 pupil's individual learning needs.

7 (d) Pupils progress based on evidence of mastery, not seat
8 time.

9 (e) Pupils learn actively using different pathways and varied
10 pacing.

11 (f) Strategies to ensure equity for all pupils are embedded in
12 the culture, structure, and pedagogy.

13 (g) Rigorous, common expectations for learning, including
14 knowledge, skills, and dispositions, are explicit, transparent,
15 measurable, and transferable.

16 Sec. 564. (1) The learner-first district has all of the
17 rights, powers, and duties expressly stated in this act; may
18 exercise a power implied or incident to a power expressly stated in
19 this act; and, except as otherwise provided by law, may exercise a
20 power incidental or appropriate to the performance of a function
21 related to the provision of public education services in the
22 interests of public elementary and secondary education in this
23 state, including, but not limited to, all of the following:

24 (a) Educating pupils, in addition to educating pupils in
25 grades K to 12, this function may include providing preschool,
26 lifelong education, adult education, community education, training,
27 enrichment, and recreation programs for other persons. The learner-
28 first district may provide education services for pupils enrolled
29 in the learner-first district through an agreement, contract, or



1 other cooperative agreement with any public or private entity,
2 including, but not limited to, another school district, an
3 intermediate school district, a public school academy, a community
4 college district, a state public university, or a library.

5 (b) Providing for the safety and welfare of pupils enrolled in
6 the learner-first district while engaged in a public educational
7 service, an activity sponsored by the learner-first district, or
8 while en route to or from a public educational service or a
9 learner-first district sponsored activity.

10 (c) Acquiring, renting, constructing, maintaining, repairing,
11 renovating, disposing of, or conveying school property, facilities,
12 equipment, technology, or furnishings.

13 (d) Hiring, contracting for, scheduling, supervising, or
14 terminating employees, independent contractors, individuals hired
15 through parent-directed direct-instruction agreements under section
16 566, and others, including, but not limited to, another school
17 district or an intermediate school district, to carry out learner-
18 first district powers. The learner-first district may indemnify its
19 employees.

20 (e) Receiving, accounting for, investing, or expending public
21 school money; borrowing money and pledging public school funds for
22 repayment; qualifying for state school aid and other public or
23 private money from local, regional, state, or federal sources; and
24 accepting gifts or grants from any public or private source.

25 (2) The learner-first district may enter into agreements,
26 contracts, concurrent enrollment agreements, or other cooperative
27 arrangements with other entities, public or private, including, but
28 not limited to, another school district, an intermediate school
29 district, a public school academy, a community college district, a



1 state public university, or a library.

2 (3) The learner-first district may join organizations as part
3 of performing the functions of the learner-first district. An
4 agreement, contract, concurrent enrollment agreement, or other
5 cooperative arrangement that is entered into under this act is not
6 required to comply with the provisions of the urban cooperation act
7 of 1967, 1967 (Ex Sess) PA 7, MCL 124.501 to 124.512, as provided
8 under section 3 of the urban cooperation act of 1967, 1967 (Ex
9 Sess) PA 7, MCL 124.503.

10 (4) A pupil who is enrolled in the learner-first district on
11 less than a full-time equated basis must not be excluded from any
12 course or learning pathway offered by the pupil's school district,
13 including, but not limited to, core or essential academic
14 coursework required under the Michigan merit curriculum sections
15 1278a and 1278b.

16 Sec. 565. (1) The learner-first district created under section
17 562 is under the supervision and control of a learner-first
18 district board. The learner-first district board must consist of 8
19 members as follows:

20 (a) Four members appointed by the governor.

21 (b) Two members nominated by the speaker of the house of
22 representatives and appointed by the governor.

23 (c) Two members nominated by the senate majority leader and
24 appointed by the governor.

25 (2) Except as otherwise provided in this subsection, an
26 individual appointed to the learner-first district board shall
27 serve for a term of 8 years and may be reappointed. The terms for
28 members first appointed must be staggered so that 2 expire in 2
29 years, 2 expire in 4 years, 2 expire in 6 years, and 2 expire in 8



1 years. A vacancy on the learner-first district board must be filled
2 in the same manner as the original appointment.

3 (3) Before beginning the duties of the office, a member of the
4 learner-first district board shall take and subscribe to the
5 constitutional oath of office as provided under section 1 of
6 article XI of the state constitution of 1963. The oath of office
7 must be filed with the secretary of state.

8 Sec. 566. (1) The learner-first district board created under
9 section 565 shall identify and contract with educational providers
10 across this state to provide programs, courses, and services to
11 pupils who enroll in the learner-first district. To become an
12 educational provider for the learner-first district under this
13 section, the individual or organization that wishes to serve as an
14 educational provider must apply to the learner-first district board
15 in a form and manner prescribed by the learner-first district
16 board.

17 (2) The learner-first district board may enter into a contract
18 with an educational provider only if the learner-first district
19 board determines the educational provider meets all of the
20 following requirements:

21 (a) The educational provider has a demonstrated record of
22 improving pupil achievement in the program, course, or service the
23 provider proposes to offer, or the educational provider's program,
24 course, or service is a new approach to instruction that the
25 learner-first district board believes will likely result in
26 improved pupil achievement.

27 (b) The proposed program, course, or service to be offered by
28 the educational provider is consistent with the model core academic
29 content standards under section 1278, the requirements for a high



1 school diploma under section 1278a and 1278b, and other applicable
2 provisions of this act.

3 (c) The educational provider has sufficient operational
4 capacity to deliver the proposed program, course, or service as
5 described in the educational provider's contract with the learner-
6 first district board.

7 (d) The educational provider's proposed program, course, or
8 service does not discriminate in pupil enrollment based on the
9 pupil's academic or athletic ability, disability status, race,
10 ethnicity, religious affiliation, geographic location or any other
11 basis that cannot be used to prohibit enrollment in a public
12 school.

13 (e) The educational provider is operating in good standing
14 with all applicable state and federal law, and meets any other
15 operating standards established by the learner-first district
16 board.

17 (3) Except as otherwise provided by law, a program, course, or
18 service offered by an educational provider must be provided by a
19 certificated teacher, a faculty member of a community college
20 district, a faculty member of a state public university, or an
21 individual hired under subsection (6).

22 (4) The learner-first district board shall contract with a
23 sufficient number of educational providers in core academic
24 subjects to allow a pupil to complete the core academic curriculum
25 or state graduation requirements, as applicable.

26 (5) An educational provider approved by the learner-first
27 district board under subsection (1) may provide instruction in
28 person, virtually, or through a combination of the 2, and with the
29 assistance of computer-adaptive technology.



1 (6) The learner-first district board shall establish and
2 maintain a process through which parents or legal guardians may
3 select and directly hire an individual certificated teacher or a
4 faculty member of a community college or state public university to
5 provide direct, one-to-one, or small-group instruction to the
6 parent's or legal guardian's child. The learner-first district
7 board shall do all of the following:

8 (a) Maintain an open registry of qualified individuals who
9 have applied and been approved by the learner-first district board
10 after a criminal background check, verification of certification or
11 faculty status, and demonstration of compliance with all applicable
12 state and federal laws.

13 (b) Facilitate the formation of a parent-directed direct-
14 instruction agreement between the individual and the learner-first
15 district. The agreement must include the individual's compensation
16 rate, instructional hours, progress-reporting requirements, and any
17 other terms the board deems necessary. The individual's
18 compensation rate must not exceed the per-pupil foundation
19 allowance under section 20 of the state school aid act, MCL
20 388.1620, or the amount established by learner-first district board
21 policy.

22 (c) Disburse public funds directly to the selected individual
23 or, at the parent's or legal guardian's election, reimburse the
24 parent or legal guardian for payments already made to the
25 individual in accordance with the agreement. The learner-first
26 district remains the fiscal agent and retains all accountability
27 and oversight responsibilities.

28 (d) Require each individual providing direct instruction under
29 this subsection to administer or participate in all state



1 assessments required under this act and to provide regular progress
2 reports to the learner-first district board, parents, and legal
3 guardians.

4 (7) The learner-first district board shall develop a system
5 through which educational providers are evaluated and information
6 on educational providers is provided to parents and legal guardians
7 who wish to enroll their child in the learner-first district. The
8 learner-first district board shall seek input from educational
9 providers on the evaluation system developed under this subsection
10 and changes to the evaluation system that can be implemented.

11 Sec. 567. (1) If a parent or legal guardian wishes to enroll
12 their child in the learner-first district, the parent or legal
13 guardian must submit an application for enrollment in a form and
14 manner prescribed by the learner-first district board. The learner-
15 first district board may not deny a pupil the opportunity to enroll
16 in the learner-first district based on the pupil's geographic
17 location, academic or athletic ability, disability status, race,
18 ethnicity, religious affiliation, or any other factor that cannot
19 be used to prohibit enrollment in a public school. If the learner-
20 first district board receives more applications than the learner-
21 first district's capacity, the learner-first district board must
22 select students for enrollment using a random selection process.

23 (2) Any parent or legal guardian may enroll the parent's or
24 legal guardian's child in the learner-first district. If a parent
25 or legal guardian's application under subsection (1) is accepted,
26 the parent or legal guardian may select any of the following:

27 (a) Programs, courses, or services offered by preapproved
28 educational providers under contract with the learner-first
29 district board.



1 (b) An individual teacher for direct instruction under section
2 566. The parent or legal guardian has the right to negotiate the
3 specific instructional plan with the selected teacher subject to
4 learner-first district board approval of the resulting direct-
5 instruction agreement. The learner-first district board shall
6 provide support services, including a searchable online registry of
7 qualified teachers, to assist parents and legal guardians in
8 exercising this choice.

9 (3) The learner-first district board shall ensure that each
10 pupil enrolled in the learner-first district has access to
11 instruction in the subject areas of reading, spelling, mathematics,
12 science, history, civics, literature, writing, and English grammar
13 as necessary to provide the pupil with a complete core academic
14 curriculum or allow the pupil to complete the state graduation
15 requirements. The learner-first district shall maintain a
16 transcript for each pupil enrolled in the learner-first district
17 and shall award credit in a program, course, or service based on
18 objective measures of student achievement as provided for in the
19 contract entered into with each educational provider under section
20 566. A pupil receiving direct instruction under section 566 shall
21 receive credit based on objective measures agreed upon in the
22 direct-instruction agreement as described in that section.

23 (4) The learner-first district board shall ensure that each
24 pupil enrolled in the learner-first district is administered all
25 state assessments required under this act.

26 (5) This section does not prohibit a pupil enrolled in the
27 learner-first district from satisfying any graduation requirements
28 through dual enrollment in a postsecondary institution, or from
29 enrolling in a public school for any course.



1 (6) The learner-first district shall award a high school
2 diploma to a pupil who satisfies the state graduation requirements
3 established in sections 1278a and 1278b.

4 Sec. 568. (1) The learner-first district is subject to all
5 operational transparency requirements and fiscal controls that
6 exist for other state educational agencies, including, but not
7 limited to, the following:

8 (a) The open meetings act, 1976 PA 267, MCL 15.261 to 15.275.

9 (b) The freedom of information act, 1976 PA 442, MCL 15.231 to
10 15.246.

11 (c) The uniform budgeting and accounting act, 1968 PA 2, MCL
12 141.421 to 141.440a.

13 (d) 1947 PA 336, MCL 423.201 to 423.217.

14 (e) Sections 1134, 1135, 1146, 1153, 1263(3), 1267, and 1274.

15 (f) Laws concerning participation in state assessments, data
16 collection systems, state level student growth models, state
17 accountability and accreditation systems, and other public
18 comparative data collection required for public schools.

19 (2) The learner-first district shall make information
20 concerning its operation and management available to the public in
21 the same manner as is required by state law for school districts.

22 Sec. 569. The validity of the formation of the learner-first
23 district is conclusively presumed unless questioned in an original
24 action filed in the court of appeals not later 60 days after the
25 learner-first district is created under this part. The court of
26 appeals has original jurisdiction to hear an action under this
27 section. The court shall hear the action in an expedited manner.

28 Sec. 1701b. (1) The learner-first district board created under
29 section 565 shall, subject to the approval of the state board of



1 education, develop and implement a plan for the delivery of special
2 education services to eligible pupils enrolled in the learner-first
3 district.

4 (2) For the purposes of ensuring that a student with a
5 disability enrolled in the learner-first district is provided with
6 special education programs and services, the learner-first district
7 is considered to be an intermediate school district under this
8 article.

9 (3) The learner-first district may not levy ad valorem
10 property taxes or another tax for the purpose of providing special
11 education programs or services, or for any other purpose. The state
12 board of education shall adopt and implement a plan through which
13 intermediate school district funds meant to be used for the
14 provision of special education programs or services for a pupil
15 residing in the intermediate school district may be transferred to
16 the learner-first district for that pupil's education.